

But what they had ignored was that they made 2-4% returns on their capital in adverse market conditions, and if they continued with the same process, they would end up making 24-48% per year (ignoring compounding), which is outstanding returns for most traders. Once I explained this, their disappointment dissolved automatically.

Over expectation is one of the most significant issues with most retail traders. Many traders start with small capital, and they don't look at the returns in terms of ROI (Return on Investment) on the capital. From the word go, they want to generate enough money to pay their bills despite their small capital.

If a trader realizes this fact and takes the proper action to be persistent with his winning system, he will survive in the intraday trading game and end up making money.

3 – No Overnight Risk

Some traders wake up suddenly in the middle of the night as if they had seen a terrible dream. But they wake up just to see levels of the SGX Nifty or Dow Jones.

Most of them are positional traders, and they are carrying a significant open position in the market. In such situations, anxiety gets accumulated in their minds and causes them to wake up suddenly.

Fortunately, intraday traders will not go through this (unless they carry their position) as we close all our position before the market closes. In most countries, because of this lower risk, day traders also get extra margin benefits.

4 – Lack of Knowledge

This might be a surprising reason for most traders, but it is a fact. I had realized this when many traders admitted that they thought that trading meant only intraday trading.

It is because when a beginner (who doesn't know anything about the market) opens a trading account and starts to punch in the order, most of the brokers populate 'MIS'(Margin Intraday Square-off) as their default order type. Hence, the position will be squared off automatically by EOD. Therefore, they assume trading means only intraday trading!